

Chow Tai Fook Jewellery Group (1929.HK)

1QFY27 solid SSSG as expected, Jul decelerates with weather headwinds; confidence on full year guidance; Neutral

1929.HK

12m Price Target: HK\$13.00

Price: HK\$12.51

Upside: 3.9%

■ **NEUTRAL**

Chow Tai Fook (CTF) announced its 1QFY27 (Jun-26 quarter) trading update and hosted a conference call after the market close on Jul 23. Echoing our read across from Luk Fook result, **Mainland China SSSG was strong at 19.6% for self-operated stores (compared to Apr-May at 19.7%, in line with GSe of 20%), and 15.7% for franchised stores respectively; HK&Macau performance remained robust at 41.7% (compared to Apr-May at 40.6%, slightly ahead of GSe of 40%).** In ML China, compared to Luk Fook (+16%/+25% for self-operated stores/franchised stores), CTF outperformed in self-operated store channel while franchised stores underperformed; HK&Macau SSSG performance was similar to Luk Fook's 41%. **By category, weight based products outperformed amid gold price correction**, with +38%/+63.7% SSSG growth in ML China/HK&Macau, vs. fixed priced products at -1%/+13.1% respectively. ML China net closure was at 258 in the Jun quarter, and management expects full year store closure in ML China to be 600-700.

Looking ahead, management showed confidence to achieve the full year guidance and noted 1QFY27 performance was ahead of their expectation. **Into Jul**, the SSSG in Jul 1-19 saw deceleration from Jun quarter at SD% positive growth in ML China, which management attributed to weather headwinds and traffic dilution from World Cup event in the first two weeks. That said, performance saw sequential improvement in the third week. On the positive side, fixed price products saw outperformance in Jul (DD% at self-owned store channel), supported by gold price stabilization and successful products such as Dawn series (management revised up FY27 sales guidance to HK\$3bn from HK\$2bn).

We view the result as largely in line with market expectation with a strong Apr-May SSSG reported earlier. Dawn series is a positive surprise which also provided support to fixed priced products outperformance in Jul, yet 1QFY27 fixed priced product mix

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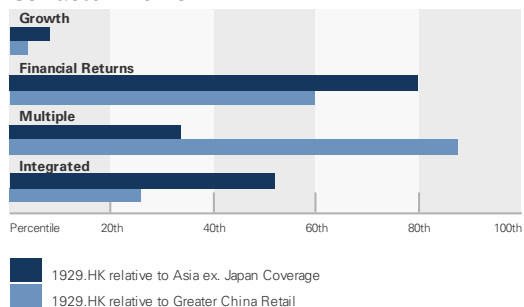
Key Data

Market cap: HK\$123.4bn / \$15.7bn
Enterprise value: HK\$135.3bn / \$17.3bn
3m ADTV: HK\$216.7mn / \$27.7mn
Hong Kong
Greater China Retail
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (HK\$ mn)	94,398.4	98,750.8	101,045.9	103,308.7
EBITDA (HK\$ mn)	20,654.8	15,652.6	16,617.6	17,016.9
EPS (HK\$)	0.91	1.04	1.06	1.10
P/E (X)	14.6	12.1	11.7	11.4
P/B (X)	4.1	3.5	3.2	2.9
Dividend yield (%)	5.0	5.9	5.9	5.9
N debt/EBITDA (ex lease,X)	0.5	0.7	0.6	0.4
CROCI (%)	23.8	21.4	20.9	20.9
FCF yield (%)	0.6	6.1	7.9	8.5
	9/25	3/26	9/26E	3/27E
EPS (HK\$)	0.26	0.65	0.41	0.62

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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NEUTRAL

**Chow Tai Fook Jewellery Group
(1929.HK)**

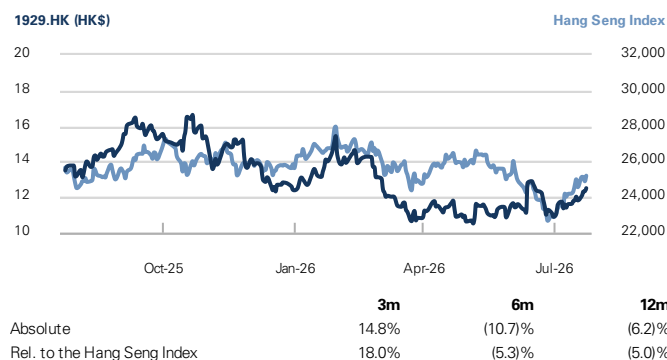
Rating since Jun 21, 2017

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	14.6	12.1	11.7	11.4
P/B (X)	4.1	3.5	3.2	2.9
FCF yield (%)	0.6	6.1	7.9	8.5
EV/EBITDAR (X)	6.9	8.6	8.0	7.7
EV/EBITDA (excl. leases) (X)	7.1	9.0	8.4	8.0
CROCI (%)	23.8	21.4	20.9	20.9
ROE (%)	31.4	31.5	29.6	27.8
Net debt/equity (%)	35.1	34.1	27.0	19.1
Net debt/equity (excl. leases) (%)	32.0	30.0	23.3	15.7
Interest cover (X)	29.0	16.3	17.5	18.4
Days inventory outst, sales	230.3	241.7	244.8	244.2
Receivable days	17.2	17.5	17.7	17.6
Days payable outstanding	146.6	124.2	122.7	121.1
DuPont ROE (%)	28.2	29.2	27.4	25.8
Turnover (X)	1.1	1.1	1.1	1.0
Leverage (X)	2.7	2.6	2.5	2.4
Gross cash invested (ex cash) (HK\$)	57,176.6	61,046.2	62,925.8	64,394.5
Average capital employed (HK\$)	40,841.5	43,815.4	46,309.8	47,805.4
BVPS (HK\$)	3.22	3.55	3.88	4.24

Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	5.3	4.6	2.3	2.2
EBITDA growth	22.6	(24.2)	6.2	2.4
EPS growth	53.2	14.3	2.7	2.9
DPS growth	28.3	10.9	0.0	0.0
EBIT margin	20.0	14.1	14.7	14.8
EBITDA margin	21.9	15.9	16.4	16.5
Net income margin	9.5	10.4	10.4	10.5

Price Performance

Source: FactSet. Price as of 23 Jul 2026 close.

Income Statement (HK\$ mn)

	3/26	3/27E	3/28E	3/29E
Total revenue	94,398.4	98,750.8	101,045.9	103,308.7
Cost of goods sold	(63,898.0)	(72,674.0)	(73,515.3)	(74,817.5)
SG&A	(12,343.1)	(12,861.7)	(13,354.2)	(13,942.8)
R&D	—	—	—	—
Other operating inc./exp.)	692.9	692.3	695.6	701.2
EBITDA	20,654.8	15,652.6	16,617.6	17,016.9
Depreciation & amortization	(1,804.6)	(1,745.2)	(1,745.6)	(1,767.3)
EBIT	18,850.2	13,907.4	14,872.0	15,249.6
Net interest inc./exp.)	(649.2)	(851.9)	(851.9)	(827.1)
Income/(loss) from associates	2.7	0.0	0.0	—
Pre-tax profit	11,945.8	13,570.4	13,934.9	14,337.4
Provision for taxes	(2,865.4)	(3,255.1)	(3,342.5)	(3,439.1)
Minority interest	(76.1)	(86.4)	(88.8)	(91.3)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	9,004.3	10,228.8	10,503.6	10,807.0
Post-tax exceptionals	—	0.0	—	—
Net inc. (post-exceptionals)	9,004.3	10,228.8	10,503.6	10,807.0
EPS (basic, pre-except) (HK\$)	0.91	1.04	1.06	1.10
EPS (diluted, pre-except) (HK\$)	0.91	1.04	1.06	1.10
EPS (basic, post-except) (HK\$)	0.91	1.04	1.06	1.10
EPS (diluted, post-except) (HK\$)	0.91	1.04	1.06	1.10
DPS (HK\$)	0.67	0.74	0.74	0.74
Div. payout ratio (%)	73.5	71.4	69.5	67.5

Balance Sheet (HK\$ mn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	8,262.1	10,172.2	12,300.9	14,635.7
Accounts receivable	4,637.9	4,847.9	4,943.9	5,038.7
Inventory	63,715.8	67,058.1	68,466.9	69,756.0
Other current assets	21.5	46.2	46.7	47.1
Total current assets	76,637.3	82,124.4	85,758.4	89,477.5
Net PP&E	4,810.8	4,983.1	5,191.9	5,401.2
Net intangibles	5.3	(36.0)	(77.3)	(118.6)
Total investments	40.0	40.0	40.0	40.0
Other long-term assets	4,361.1	4,361.1	4,361.1	4,361.1
Total assets	85,854.5	91,472.6	95,274.1	99,161.2
Accounts payable	24,725.9	24,726.1	24,687.5	24,961.5
Short-term debt	18,480.4	20,651.8	21,200.3	21,215.9
Short-term lease liabilities	579.7	571.4	571.0	570.7
Other current liabilities	1,752.2	1,752.2	1,752.2	1,752.2
Total current liabilities	45,538.2	47,701.4	48,211.1	48,500.3
Long-term debt	0.0	0.0	—	—
Long-term lease liabilities	426.1	865.7	865.2	864.7
Other long-term liabilities	713.1	713.1	713.1	713.1
Total long-term liabilities	8,357.5	8,797.1	8,796.6	8,796.1
Total liabilities	53,895.7	56,498.5	57,007.6	57,296.4
Preferred shares	—	—	—	—
Total common equity	30,973.4	33,902.2	37,105.9	40,612.9
Minority interest	985.4	1,071.8	1,160.6	1,252.0
Total liabilities & equity	85,854.5	91,472.6	95,274.1	99,161.2
Net debt, adjusted	10,218.3	10,479.6	8,899.4	6,580.1

Cash Flow (HK\$ mn)

	3/26	3/27E	3/28E	3/29E
Net income	9,004.3	10,228.8	10,503.6	10,807.0
D&A add-back	1,804.6	1,745.2	1,745.6	1,767.3
Minority interest add-back	76.1	86.4	88.8	91.3
Net (inc)/dec working capital	(10,615.3)	(3,544.2)	(1,531.4)	(1,098.6)
Other operating cash flow	1,047.3	(32.6)	(12.3)	(11.7)
Cash flow from operations	1,317.0	8,483.7	10,794.3	11,555.4
Capital expenditures	(593.0)	(987.5)	(1,010.5)	(1,033.1)
Acquisitions	—	—	—	—
Divestitures	11.9	—	—	—
Others	205.7	(93.4)	(93.4)	(93.4)
Cash flow from investing	(375.4)	(1,080.9)	(1,103.9)	(1,126.5)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(5,327.1)	(7,300.0)	(7,300.0)	(7,300.0)
Inc/(dec) in debt	(1,214.5)	2,171.4	548.5	15.6
Other financing cash flows	6,279.7	(364.1)	(810.1)	(809.7)
Cash flow from financing	(261.9)	(5,492.7)	(7,561.6)	(8,094.1)
Total cash flow	679.7	1,910.1	2,128.8	2,334.8
Free cash flow	724.0	7,496.2	9,783.8	10,522.3

Source: Company data, Goldman Sachs Research estimates.

declined by 5pp yoy in ML China amid gold price headwinds. We believe the SSSG sustainability and whether new products are able to drive fixed priced products mix improvement (vs. company guidance of slight yoy mix expansion in FY27) will be key to watch. Remain Neutral.

We would like to thank Mattie, He for her contribution to the report.

1QFY27 trading updates

Mainland China:

1QFY27 SSSG of self-operated stores came in at +19.6% yoy, mainly driven by ASP increase offset by 5.2% volume decline. It implies Jun-quarter SSS at 5% below the same period in 2019 (or pre-COVID level), accelerated from 15% below in the Mar quarter. SSSG of franchised stores was at 15.7%.

By product, fixed-price jewelry SSS was down by 1% yoy, with fixed-price gold/gem-set ASP growing by +40%/+4% yoy to HK\$9,100/8,700. Weight-based jewelry SSSG was up 38% yoy, with ASP increased by +26% to HK\$10,600. The company is still going through retail network optimization and it recorded net closed 258 stores in mainland China in the Jun quarter. RSV of e-commerce remained strong and grew by 28.9%, contributing to 8.9% of retail sales.

HK and Macau:

1QFY27 SSSG was up 41.7% yoy, with Hong Kong up by 35% and Macau up by 64.6%, mainly driven by ASP increase while volume also saw 9.4% yoy increase. It implies Jun-quarter SSS at 71% of the level in 2018 (or normal level, i.e. pre-COVID and before the HK macro situation), vs. 4QFY26 of 80%.

By product, fixed-price jewelry SSS was up by 13.1% yoy, with fixed-price gold/gem-set ASP changed by +71%/+2% yoy to HK\$8,700/16,600. Weight-based jewelry SSSG was up 63.7% yoy, with ASP increased by +10% to HK\$17,100.

Key takeaways from conference call

FY27 guidance reiterated: Mgmt reiterated MSD-HSD revenue growth, HSD SSSG in ML China and low-teens SSSG in HK and Macau. Under the assumption of gold price US\$4,300/oz, GPM/OPM guidance remained at 26.5%-27.5%/c.14%, respectively; and HK\$500-800mn of hedging gains. At the current c.US\$4,100 per ounce, mgmt expects limited revenue impact with weight-based gold demand being supported. A higher weight-based gold mix may affect GPM, but would be offset by operating leverage from higher weight based products sales/hedging gains, leaving full-year net profit broadly stable.

Recent trends: For Jul 1-19, ML China SSSG decelerated to SD% growth, while HK and Macau posted double-digit growth. Management noted that the SSSG performance in the first two weeks of Jul was negatively impacted by weather headwinds and traffic dilution from World Cup event, while noting that the performance improved in the third week of Jul. On product mix, while fixed priced products underperformed in Jun quarter amid gold-price volatility, management noted that Jul MTD fixed-price products SSSG at ML China self-operated stores was at DD%, outperforming vs. the overall performance, driven by new products.

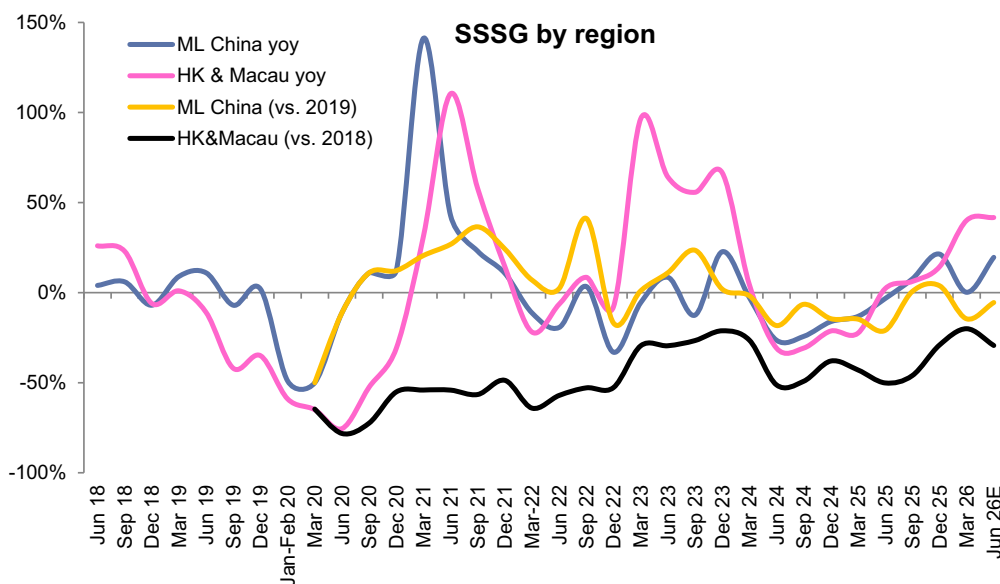
Dawn collection a positive surprise: Dawn collection's 1QFY27 RSV exceeded HK\$870mn, ahead of mgmt expectations, with new members accounting for over 20% of customers. Mgmt raised FY27 sales guidance to over HK\$3bn (prior: HK\$2bn). Management also noted that overall gem-set products sales grew over 80% yoy, mainly driven by the Dawn collection. The Chinese Couture High Jewelry collection sold over 250 pieces during its June launch events.

Channel strategy: In **ML China**, the company opened 14 stores while net closed 258 stores in 1QFY27, versus 311 closures 1QFY26. Mgmt expects 600-700 net closures in FY27, mainly in 1H. That said, new stores generate around 3 times the sales of closed stores, limiting the revenue impact from network optimization. **Overseas**, the company recently opened luxury stores in Bangkok and Canada and upgraded its Malaysia Pavilion store. A new Singapore store is planned by year-end. Future expansion will focus on prime locations in Southeast Asia and North America.

Regional markets comments: 1) ML China: Tier 1/2 cities outperformed lower-tier cities, self-operated stores outperformed franchised stores, and shopping-mall stores outperformed lower-traffic locations. 2) HK&Macau: Tourists contributed c.60% of HK sales and over 80% of Macau sales, broadly unchanged from a year ago and pre-Covid levels.

Exhibit 1: Chow Tai Fook Jun-quarter SSSG accelerated in ML China, and remained strong in HK & Macau

Chow Tai Fook SSSG by region



Note: Normal period for HK&Macau market denotes pre-COVID and before HK macro situation

Source: Company data

Price Target Risks and Methodology - Chow Tai Fook Jewellery Group

We are Neutral rated on CTF with a 12-m target price of HK\$13. Our price target is based on a 13x average FY3/27E P/E. Key risks: A slower-/faster-than-expected SSSG recovery, slower-/faster-than-expected store expansion, lower-/higher-than-expected rental cost cuts, changes in mainland Chinese tourists' preference of destinations to visit,

China's travel policy changes, volatility in gold price/FX, and performance of new brands.

Disclosure Appendix

Reg AC

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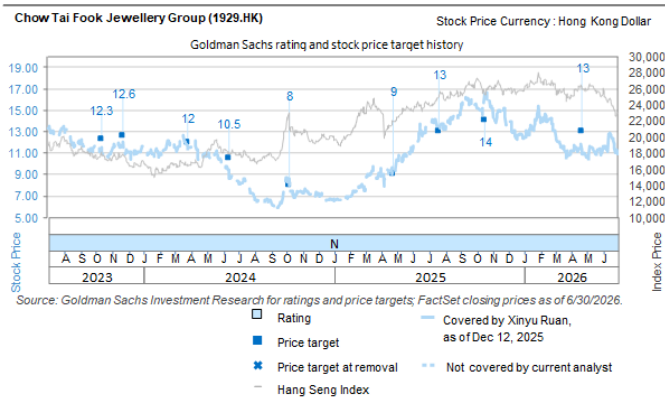
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	Buy	Hold	Sell		Buy	Hold	Sell
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Target price history table(s)
Chow Tai Fook Jewellery Group (1929.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
22-Apr-26	13.00	11.31
17-Oct-25	14.00	16.52
22-Jul-25	13.00	14.00
24-Apr-25	9.00	9.63
07-Oct-24	8.00	8.59
13-Jun-24	10.50	9.46
26-Mar-24	12.00	11.44
23-Nov-23	12.60	12.04
12-Oct-23	12.30	11.56

Price targets shown in table(s) are unadjusted for corporate actions.

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